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PHOENIX : GROWTH PROGRAMME

AME Region Anti-Illicit Trade (AIT) Project

Project Initiation Document (PID)

Ver. 0.08

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Project Initiation Document History

Revision History

Date of this revision:

Revision date	Summary of Changes	Author	Version
9 Feb 2007	Initial Draft	[redacted]	V0-01
26 Feb 2007	Including information from Individual Work streams	[redacted]	V0-02
28 Feb 2007	Final updates for submission of high level draft PID	[redacted]	V0-03
6 March 2007	Discussion and changes	[redacted]	V0-04
6 -25 March 2007	Updating of information following discussions with workstream managers, programme manager and EPO	[redacted]	V0-05
26 March	Changes following discussions with EPO	[redacted]	V0-06
28 March	Updating and changes for sign off	[redacted]	V0-07
31 March	Final changes following consultation with A Kundrak	[redacted]	V0-08

Distribution

This document has been distributed to

Name	Title	Date of Issue	Version
All of the above, incl;			
[redacted]	AIT Project Manager		
[redacted]	SRO – BATSA (Project Jessie)		
[redacted]	Workstream Manager : Project Jessie		
[redacted]	SRO – Nigeria (Project Dawn)		
[redacted]	Workstream Manager: Project Dawn		

[redacted]	SRO – MEC, GCC & Iran (Project Paige)		
[redacted]	SRO – MEC, GCC & Iran (Project Paige)		
[redacted]	Workstream Manager: Project Paige		
[redacted]	SRO : Project Harmony		
[redacted]	Workstream Manager: Project Harmony		
[redacted]	SRO (Dubai/UAE & ME Hubs) Proj. Ebony		
[redacted]	Workstream Manager: Project Ebony		
[redacted]	Support Project Ebony		
[redacted]	Trade Mark Specialist		
[redacted]	Brand Enforcement		
[redacted]	Phoenix Growth Programme		
[redacted]	AME EPO		

Project Initiation Document

Background

Africa Middle East Region is heavily infected region by illicit trade. Overall regional best estimate for illicit trade is 74 billion sticks or 13.8% share (source: Phoenix) ranging from less than 1% in Egypt and Armenia to as high as 50% in Georgia. However, we need to handle this figure with caution as reliable quantitative research for illicit trade only exists in South Africa. Therefore a margin of error can be significant elsewhere due to the nature of this activity.

The prime reasons behind the existence of this level of illicit trade are the porous borders of Africa, generally accepted culture of corruption in many places, and low levels of enforcement and penalties as well as a geographical proximity of very poor markets surrounding high value markets.

The region is also a key manufacturer of products that end up as illicit partly for consumption within the region but also for the rest of the world. The manufacturing is featured by the 7 cigarette factories operating in the UAE duty free zones and compounded by small independent factories in the Southern part of Africa.

BAT as a main player in Africa is estimated to lose 14bn sticks per annum or £56 million profit from illicit traders. This loss is despite the excellent enforcement work of some of our key markets like South Africa and Nigeria.

Once established illicit trade is very difficult to remove and should be addressed as soon as possible with a coordinated regional approach to assure that the issue is addressed effectively.

Project Definition (Incorporating Business Case)

Overall Project Objectives

The overall objectives of the project are to:

- The aspiration of the project is to create an opportunity to reduce illicit trade incidence by an overall 0.77 percentage points or 4.1bn sticks in the region (or 2.9pp in the affected areas) and as a result to create an opportunity for BAT to sell 1.5bn sticks more by mid 2008 [1]. This will be achieved by:

    - **Project Jessie – BATSA and protection belt countries**

      Applying a pro-active, multi-disciplined, co-ordinated and business-integrated approach, aligned with the global BAT six pillar methodology to protect BATSA's volume base and brand equity by driving down illicit trade, and maintaining operational sustainability. The aim is to decrease illicit trade by 2% points. Illicit trade was measured as 19.3% average in 2006, which accounted for 5.7bn sticks. A 2% point reduction will therefore account for 600m sticks.

    - **Project Dawn – BAT Nigeria**

      By applying a comprehensive 6 pillar AIT strategy[2], significantly enhance BATN's ability to effectively combat the incidence of illicit trade in the Nigerian market. The aim is to increase BAT's volume, reduce illicit and unfair trade volume and level the playing field in Nigeria Area market. To attain a reduction of illicit trade by 620 million sticks by Q2 2008 in contribution to Regional target.

    - **Project Ebony – UAE Manufacturing and transit hub**

      World class, systematic intelligence gathering of illicit tobacco trading and manufacturing activities in order to provide actionable information for BAT end markets.

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[1] *The 1.5bn was chosen as an aspirational objective by the project team with the view of having an imperfect measure is better than having no measure. The project team is in full awareness of the limitation on quantifying the current illicit trade base and the challenge to proportionate any volume gains just as a pure effect of successfully fighting illicit products.*

[2] *Traditionally some BAT markets approached AIT as purely a Brand Enforcement operation. The project aims to ensure that priority markets approach the fight against illicit trade using the BAT six pillar methodology, involving all company resources necessary. A comprehensive six pillar AIT / Excise strategy as referred to in this document encompasses the use of company mobilisation, service providers, Government relations, political support, media, and intelligence. It recognises the close links between brand portfolio, excise and illicit trade. The project also aims to ensure that priority markets address resource issues to ensure that AIT receives adequate attention in line with the value of the market and size of the problem. In line with Phoenix recommendations, Finance Directors will carry responsibility for the workstreams. The only exception is BATSA, where AIT is the responsibility of the Legal Director.*

- **Project Harmony - Mastermind**

  The objective of this project is to apply an above market concerted approach to obstruct Mastermind's illicit activity in Southern Africa through the closure of the Mastermind Rwanda factories in Uganda and DRC either permanently or temporary due to the use of counterfeit Ugandan & DRC tax stamps, lobbying for heavy fines levied due to tax evasion and resulting in the de-registering of the Super match brand if proven illicit. The potential of Project Harmony is to remove 2,4bn illicit sticks from the markets.

- **Project Paige - MEC**

  By building a comprehensive 6 pillar AIT strategy, significantly enhance BAT's ability to effectively combat unfair competition in Iran and GCC markets. Proactive intelligence gathering relating to those involved in the illicit tobacco trading in Iran and KSA in order to, through engagement with authorities disrupt this illicit trade and provide market opportunities for BAT. The total benefit of the workstream should provide for the removal of 500m-800m illicit sticks from the markets.

- Building sustainable, innovative intelligence capabilities to allow further reductions in illicit trade.
- To build and promote an AIT culture within AME with high profile ownership evidenced in proper resourcing, regular visibility of progress or lack of progress in all Zones, Area top teams and the RLT.

The target of removing 4.1bn cigarettes from the market will not be achieved by confiscations alone. It can be achieved in various ways:

1. Confiscation of counterfeit or smuggled product by authorities.
2. Closing down of illegal manufacturers. Benefit will be calculated loss of production for such illegal facilities in the remaining period for the project.
3. Closing down and disruption of illicit supply chains.
4. Reduction in illicit incidence in affected markets.
5. Achievement of volume benefit for BAT markets as a direct result of applying an integrated 6 pillar combined Excise / AIT strategy.

Overall Project Scope

The following areas are within the scope of the project:

- BATSA and protection belt countries - Project Jessie
- Nigeria - Project Dawn
- MEC & NA (GCC & Iran) - Project Paige
- Mastermind - Project Harmony
- Dubai & UAE manufacturing and ME transit hubs - Project Ebony

Out of scope of this project:

- Algeria is out of scope but may be included within the scope of the project at a later date.

Overall Method of Approach

- The ownership of AIT strategy has been changed during the Phoenix project and now lies with Finance Directors. The project assumes that this ownership will be maintained for the period of this project.
- As a principle, security and AIT will be combined headcount in most markets but the recommendation for priority markets is to establish a separate headcount for AIT.
- Ensure an AIT approach coordinated across AME Region, addressing value, suppliers and manufacturers.
- Robust tracking procedure (feedback reports, reviews, audit visits).
- Build capacity.
- The project is divided into five workstreams. The workstreams will be managed through a combination of full time and part time Work Stream Managers. All resources are currently BAT personnel.

Project Deliverables

Many of the workstream deliverables will be business as usual. Only major milestones that will contribute to the success of the project are listed below.

Workstream	Milestones	Owner	Due
Project	PID workshop completed	AVP	9 Feb 07
Project	Draft PID submitted on time	AVP	28 Feb 07

Workstream	Milestones	Owner	Due
Project	PID completed and signed off	AVP	31 March 07
Project	Workstream review workshop in Dubai (Paige and Ebony)	AVP	3 April 07
Project	Project review workshop in Oman	AVP	15 May 07
Project	Workstream review workshop – Jessie (SA)	AVP	TBC
Project	Workstream review workshop – Dawn (Nigeria)	AVP	TBC
Project	Workstream review workshop – Harmony (Kenya)	AVP	15 June 07
Project	Project review workshop	ALL	Q3 07
BATSA (Jessie)	Favourable excise announcement	Jessie team	Feb 07
BATSA (Jessie)	Local illegal manufacturer disrupted	Jessie team	30 April 07
BATSA (Jessie)	Cross-border illegal manufacturer disrupted	Jessie team	30 Sept 07
BATSA (Jessie)	Regional illegal manufacturer machinery confiscated	Jessie team	30 Sept 07
Nigeria (Dawn)	Importation of illicit JTI product through Lome and Benin ports blocked	Dawn team	30 June 07
Nigeria (Dawn)	JTI joint venture not concluded by end of current Government tenure	Dawn team	30 June 07
Nigeria (Dawn)	50% of all Gallagher imports are duty paid	Dawn team	31 Dec 07
Nigeria (Dawn)	Minimum invoice price set for all imported cigarettes into Nigeria	Dawn team	31 March 08
Nigeria (Dawn)	JTI importation across the land borders are declared and duty paid	Dawn team	31 Dec 08
[redacted] (Harmony)	Case lodged in Uganda	Harmony team	30 Apr 07
[redacted] (Harmony)	Tax stamp storage raided in Uganda	Harmony team	30 Apr 07
[redacted] (Harmony)	Closure of Uganda factory and seizure of stock	Harmony team	31 May 07
[redacted] (Harmony)	Vehicles and storage raided (Kenya)	Harmony team	30 June 07

Workstream	Milestones	Owner	Due
[redacted] (Harmony)	Kenya factory closed and stock seized	Harmony team	31 July 07
[redacted] (Harmony)	Storage raided closure of factory and seizure of DNP stock in Angola and Mozambique	Harmony team	30 Nov 07
Ebony and Paige	Service providers identified	Ebony and Paige teams	31 May 07
Ebony and Paige	Secure intelligence database established	Ebony and Paige teams	31 May 07
Ebony and Paige	Targets prioritised	Ebony and Paige teams	30 June 07
Ebony and Paige	Intelligence cell established and operational	Ebony and Paige teams	30 June 07

Constraints

- The project team is geographically removed. This may impact on communication and the ability to meet.
- There appears to be a lack of dedicated resource in MEC.
- Political conflict and instability in some of the markets.
- Lack of basic infrastructure in some markets – e.g. quality of telephone and internet connections etc.
- Personal risk of service providers and other personnel.
- Law enforcement is low in many countries that we face high levels of illicit trade.

Benefits

The overall project benefit is to create the opportunity to sell 1.5 Billion extra sticks, attributable to the AIT project.

3.7.1 Cost Savings

- The project is approached as a growth project and therefore has to be evaluated based on the benefits it delivers.

Tangible Benefits

- Increase volumes due to a reduction in illicit trade.
- Success against illegal competitors.

Intangible Benefits

- Brand integrity protection
- Protection of BAT profit pool
- Creating an opportunity for further profit growth
- Protection of Consumers from inferior products e.g. counterfeits
- Demonstrate Responsibility by working with all legitimate stakeholders against illicit trade
- Level Playing Field
- Minimise revenue loss to governments
- Barriers to competition entry
- Protects SOM from smuggling, dumping etc.

Benefits Realisation

On average the gross margin in AME, is GBP 8.6 per mille for the 2007 budget. Every 100 million sticks create on average GBP 860k in gross margin for AME.

Cost and Timescale

Costs: Workstream costs will be carried by each separate workstream. Where appropriate, workstream managers and SRO's should raise cost concerns.

Timescale: Due to the nature of the fight against illicit trade the workstreams will not really end and will revert back to business as usual. The project will address specific deliverables, but illicit trade will not go away and opportunities to smuggle will continue to flourish for illegal operators due to high price differentials across borders, high value, porous borders and low enforcement. The project will deliver benefits and level the playing field for the project period but the long term benefit of delivering an AIT culture should ensure appropriate attention and the ongoing fight against illicit trade.

Workstream	Commence Date	Completion
Project Jessie	Q1 2007	End Q4 2007 – Ongoing
Project Dawn	Q2 2007	End Q1 2008 – Ongoing
Project Paige	Q1 2007	End Q2 2007 – Ongoing
Project Harmony	Q1 2007	Q3 2008
Project Ebony	Q1 2007	End Q2 2007 – Ongoing

Workstream	Co plan 2006	Latest estimate	Variance
Jessie – BATSA	GBP469,000	GBP469,000	
Harmony – [redacted]	GBP107,000	GBP215,000 (USD419,000)	GBP108,000
Paige – [redacted]	GBP65,000	GBP180,000	GBP115,000
Ebony – ME Hubs	Not budgeted for	GBP302,000	GBP302,000
Dawn – Nigeria	GBP1,103,000	GBP1,103,000 (USD2.15m)	

Budget assumptions

1. USD / GBP exchange rate of 1.95 used.
2. Budget information as supplied by workstreams.

Interfaces / Dependencies

- 3rd party service providers
- Area teams
- End markets

- Finance and end market management teams
- Cora teams
- Marketing teams
- Trade marketing optimisation workstreams
- Route to market workstreams

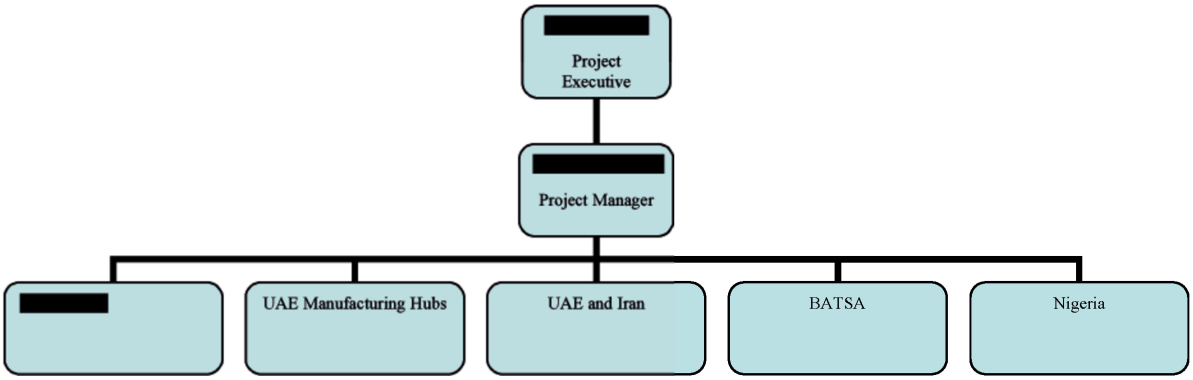
Assumptions

- Nigerian political situation will remain stable after elections
- Iran government continues to support AIT
- Gallagher/JTI venture will be signed in Nigeria. Can affect Nigeria by Q3 07

Project Organisation Structure

Role	Organisation/Workstream	Resource
Project Executive	Project Board	[redacted]
Senior User	Project Board	[redacted]
Project Manager	Project Management	[redacted]
Programme office	Phoenix Growth Programme	[redacted]
AME EPO	Project Support	[redacted]
Workstream SRO	BATSA	[redacted]
Team Management	BATSA – Project Jessie	[redacted]
Workstream SRO	Nigeria	[redacted]
Team Management	Nigeria – Project Dawn	[redacted]
Workstream SRO	Hubs	[redacted]
Team Management	Hubs – Project Ebony	[redacted]
Workstream SRO	[redacted]	[redacted]
Team Management	[redacted] Project Harmony	[redacted]
Workstream SRO	MEC	[redacted]

Role	Organisation/Workstream	Resource
Team Management	MEC – Project Paige	[redacted]
Brand Enforcement	Cross Project Resources	[redacted]
Trade Mark Specialist	Cross Project Resources	[redacted]
Intelligence	Cross Project Resources	[redacted]



Communications Plan

Project / Programme approach:

- Presentations to AME RLT as requested
- Project Board – monthly highlight report, project board meetings, exception reporting and ad hoc communication.
- Workstream managers – monthly highlight report.
- Project Manager - face to face meeting when relevant.
- Within workstreams, it will be the responsibility of workstream managers and SRO's to ensure that everyone within the workstreams are up to date. The proper application of the integrated 6 pillar methodology (especially the "company mobilisation" pillar) will ensure proper cross-functional communications within the workstreams.

Project Quality Plan

Acceptance Criteria

The project will be deemed to have been successful if the following criteria are met:

- Achieving our overall project objectives.
- Workstreams achieving workstream objectives.

Quality Expectations

- Workstream plans will be reviewed by the project manager, project executive, central AIT and the regional brand enforcement and investigation manager.
- Meet RLT expectations as our contribution to the Phoenix Programme.
- Meet Central AIT expectations for successful AIT management.
    - Close cooperation with Central AIT.
- Deliver project through use of Prince2
- Delivery of the project workstreams to agreed timelines as per PID.
- A mixture of formal and informal quality reviews will control workstream quality.
    - Formal quality reviews will be used where product quality is critical to the success of the project and will involve a quality review meeting to determine the success of workstreams. This procedure will result in the formal sign-off/acceptance of the workstreams.

Project Controls

The project does not allow for much flexibility regards tolerance levels. The tolerance levels are listed below:

- Time – Much of the execution of enforcement action is controlled by external Government agencies and judicial authorities. We do not have control over their timelines. When a deviation of such timelines becomes apparent, it will be communicated to the PM who will cascade upwards. Such deviations should be expected in this environment. Time changes will be reviewed by the PM and PE
- Cost – As per workstream budget.
- Benefits – All effort will be concentrated on achieving the benefits.
- Quality – 0% tolerance
- Scope – 0% tolerance, unless otherwise recommended by project board / RLT
- Risk – 0% tolerance (as soon as risk changes will be reported as will impact implementation)

The following Project Controls are in place:

Control	Frequency	From	To
Workstream plans / PID's submitted		Workstreams	PM
Project PID approved and submitted		PM	Programme office
Workstream review workshops	Twice a year		
Project review meetings	Twice a year		
Workstream monthly highlight reports	Monthly		
Project monthly highlight reports	Monthly		
Significant changes in plans or scope to be approved by the Growth Programme Board	When necessary when changes occur		

Initial Risk Management Plan

Description	Impact	Proba-bility	Risk Owner	Mitigation Plan
Tackling AIT leaves a hole in the market.	M	M	Workstream managers and SRO's	Increased buffer stocks may be required
Iran volatility Might divert attention from growth to survival	H	M	Workstream managers and SRO's	Accelerate recruitment
Middle East volatility	H	M	Workstream managers and SRO's	
MM intelligence source failure	H	M	Workstream managers and SRO's	Security actions
MM counter actions to BAT actions	H	L	Workstream managers and SRO's	Mitigating actions in place

BAT open to be exposed - both business and personnel	H	M	Workstream managers and SRO's	Engagement with parties Security
Mastermind may enter Nigeria "legally"	H	H	Workstream managers and SRO's	

Project Filing Structure

All interim deliverables, plans and documents pertaining to the project will be shared and managed in the Phoenix EPO data base.

Path:

[redacted]

Prince II project filing methodology will be adopted.